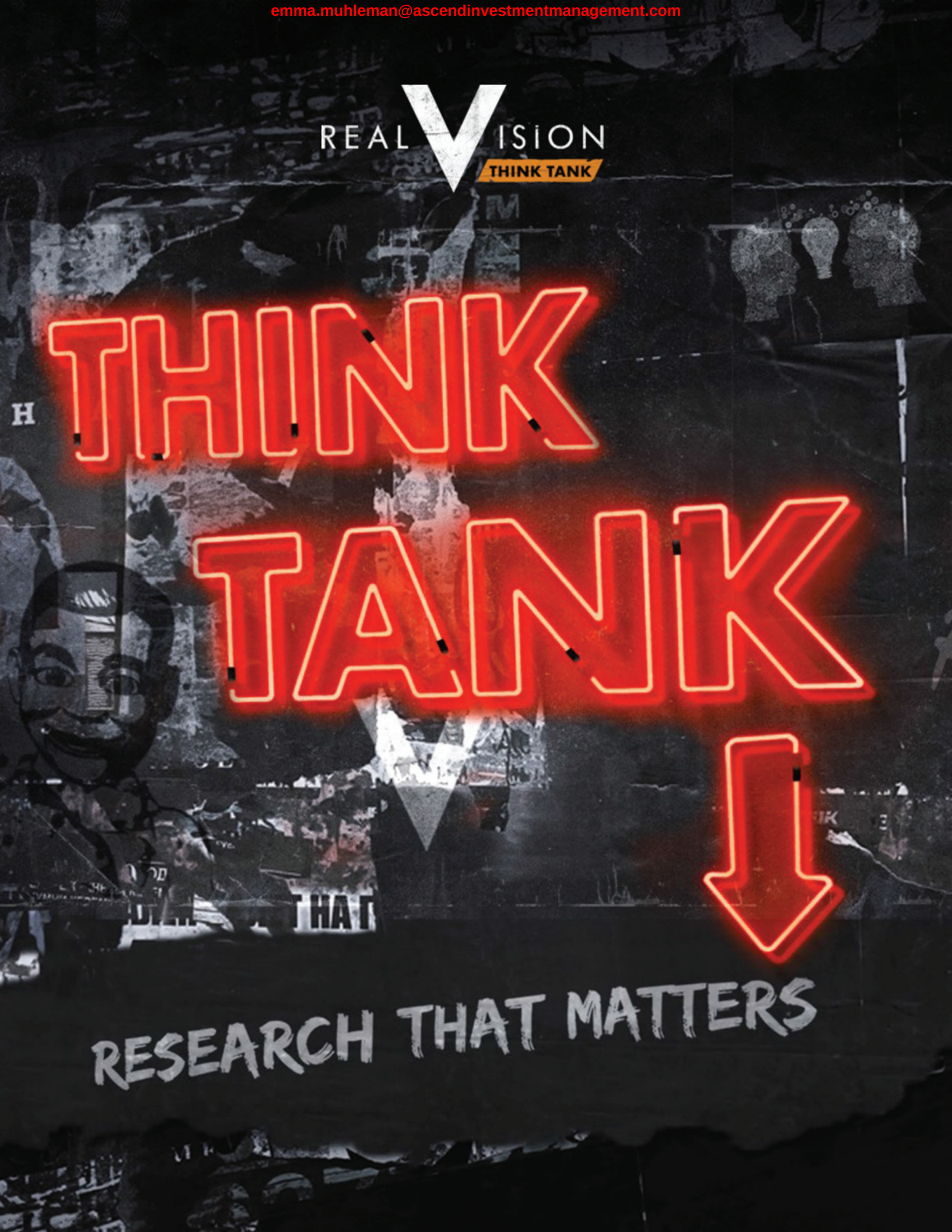
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THE DISTILLERY

A distillation of the thinking of 30 of the world's best financial researchers combined with an analysis of the most important market drivers each week.

APRIL 25, 2018

Hello,

Welcome to ***The Distillery***, packed with all the latest developments and the condensed wisdom of the best independent thinkers in finance, economics, and markets.

Here are this week's ingredients:

- ***Charts that matter*: The dollar and the debt markets**
- ***The Market Drivers*: Energy stocks and inflationary pressure**
- ***On The Radar*: Big levels in bonds but beware the USD**
- ***P.S.* Natural Gas: a U.S./China Export Deal?**

In The Spotlight

- **The Credit Strategist – The Trump Dump**
- **WeldonLive – Global Macro Special Focus on the U.S. Fed**

Take a neat shot of the markets with us now.

Milton



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THE WEEK IN CHARTS

A distillation of the key themes that are driving markets. Not what happened, but why it happened. Hear what are our contributors are saying and why they're saying it.

THE DOLLAR DASH

Is USD strength a false break or the beginning of an extended trend reversal? The chart below is updated from the March 7th Distillery (On the Radar) when Sven Henrich of Northman Trader noted,

> *US dollar index printed a positive divergence. Can't say the low is in, but divergences often accompany meaningful changes in trend.*

The key technical levels have held and now the 15-month downtrend has broken. The DXY (58% of which is the Euro) is at its highest level since mid-January. Net speculative long futures positions in the Euro still remain at record highs, one of many extremes that we have discussed before.

IS THE US DOLLAR INDEX BREAKING OUT?

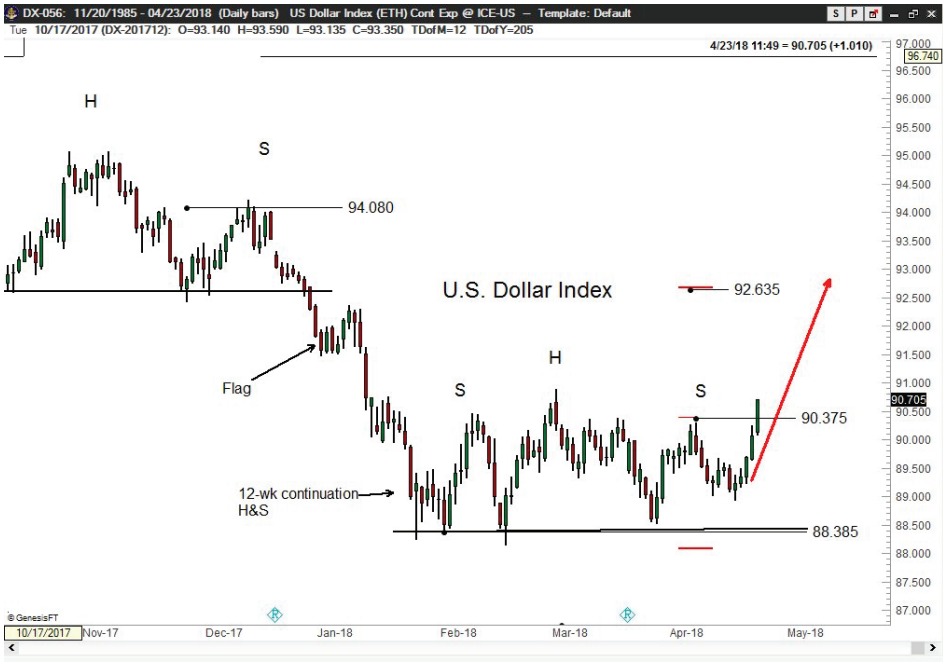


Source: RV TT & Bloomberg

It would appear that there is more room for upside. Peter Brandt of Factor fame noted on 23rd April that:

> *U.S. Dollar poised to flash major buy signal today by completing H&S bottom failure – also known as compound fulcrum. Per weekend Update, buy side appropriate*

PETER BRANDT'S POSITIVE OUTLOOK FOR THE USD



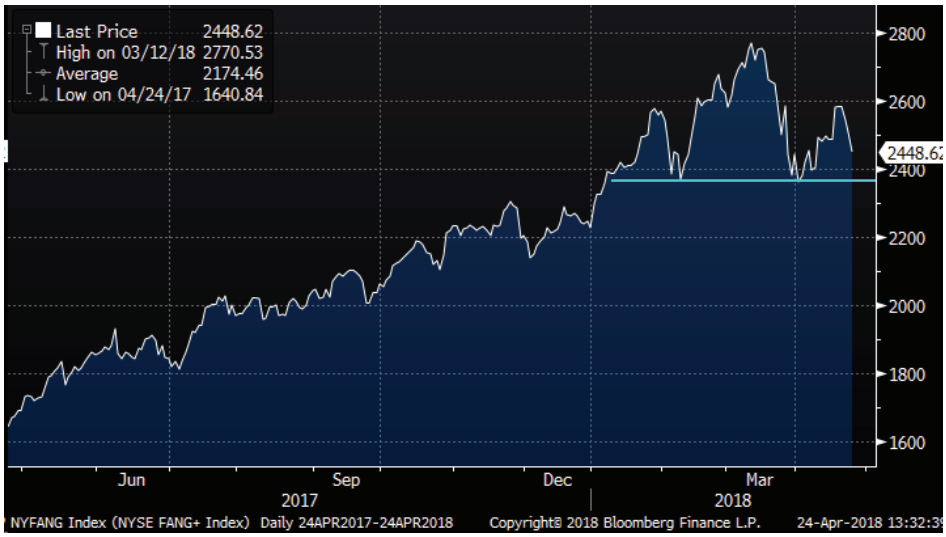
Source: Peter Brandt of Factor

We look at some implications of a stronger USD in *On the Radar*.

DRAWING A LINE IN THE FANG

The NYSE Fang index is comprised of 10 high profile technology names. Whilst technical levels can only be confirmed in hindsight, this index looks to be well on the way to forming a perfect head & shoulders.

NYSE FANG INDEX LOOKS TO BE FORMING A HEAD AND SHOULDERS



Source: RV TT & Bloomberg

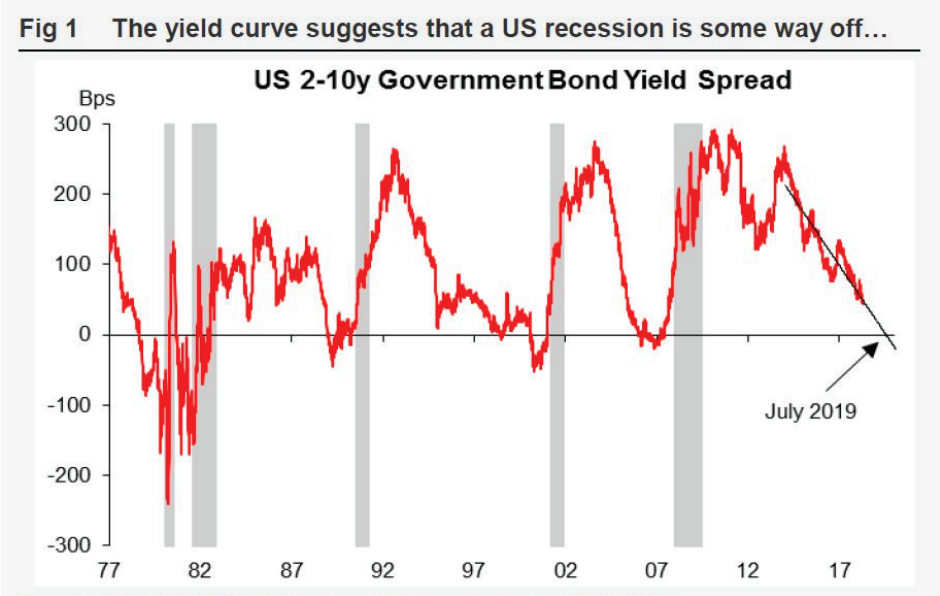


Tommy Thornton noted on 23rd April that 'there is a downside red Countdown on day 4 of 13 and a downside Wave 3 price objective of 2106.' That's another 14% downside from Tuesday's close. A key level to watch will be Google at $1000.

THE YIELD CURVE GOES MAINSTREAM

The US 10Y yield traded through 3%, but the 2Y yield has kept pace. We've been talking about the flattening yield curve for a while now, but it has increasingly made its way into the mainstream media. Business Insider flagged the shape of the curve last week, extending the US2Y10Y spread's trend line to project a recession that is still some way off. In fact, the yield curve had already inverted and begun steepening before the last three recessions.

Fig 1 The yield curve suggests that a US recession is some way off…



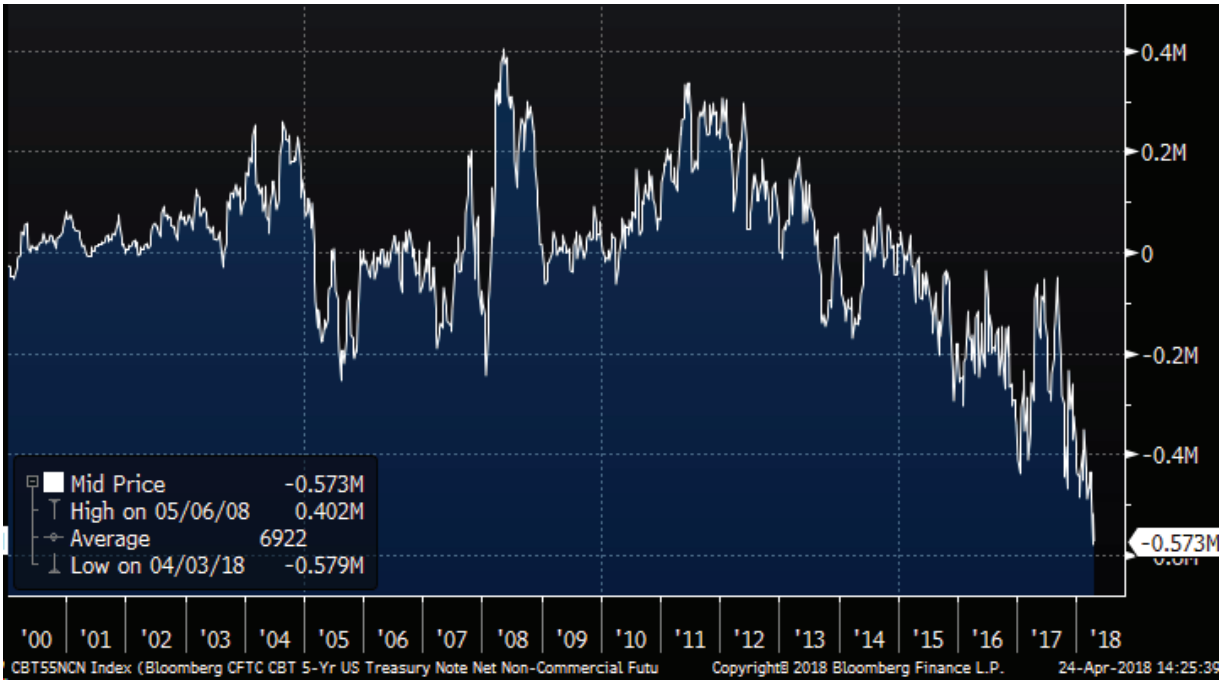
Source: IMF, Macrobond, Macquarie Macro Strategy, April 2016

Alex Gurevich of Honte Capital tackles the late-cycle question on RealVision today (Wednesday 25th April). He argues that whilst the yield curve has not yet inverted and the ISM has not yet declined from high levels, as many as 15 to 16 conditions have surfaced which are common to a late cycle period. They include the arrival of unambiguously strong earnings and economic numbers, a transition from recovery scepticism to inflation fear regime and debt size/funding concerns that are being explained away.

Macro Insiders issued a special alert on Sunday (4/22/18), entitled **"Don't Tell Julien,"** in which Raoul Pal goes rogue to issue a solo alert. His conviction has grown and he sees the highest probability of a reversal as net speculative short positions in U.S. Treasury bonds have continued to increase, from already unusually high levels. In fact, short positions in the US 5Y futures languish close to the largest levels in the history of the market!

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5-YEAR NOTE FUTURES: BIGGEST SHORT POSITION EVER



Source: RV TT & Bloomberg

This lopsided trade positioning relies on an underlying narrative of *'global synchronized growth and inflation.'* But inflation has been one of the major soundbites for almost a year now and appears to be an overextended narrative reflected in this overextension of futures positioning.

EURO AREA HARD DATA DISAPPOINTS

Whilst the late-cycle signals in the US are still ambiguous and the shorts in bonds can still be justified by one side of the data set, Alex Gurevich argues that in Europe 'they are screaming, they are wailing, the indications of upcoming economic slowdown'. Stephen Jen of Eurizon has recently been vocal about the slowing momentum (and reversal) of economic data in Europe, though his view is less emphatic:

> *The exceptional acceleration in growth in 2017 was just that: exceptional, and not sustainable.*
>
> *The deceleration, however, does not need to be sinister in nature; it could simply be a convergence to Europe's relatively low potential growth rate of slightly above 1.0% a year.*

Stephen argues for a move in the Euro back to 1.15. That's nothing dramatic and it could even allow for a period of European equity outperformance. But that would need the German DAX index to buck the historical tendency for a higher down (and up) beta if it coincides with a major break lower in the US equity markets.



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THE MARKET DRIVERS

What are the big themes that are getting our contributors excited or keeping them awake at night? These are the trends you can't afford to miss.

ENERGY IN FOCUS: THE RALLY MIGHT HAVE A WAYS TO GO

The crude market today is benefiting from several tailwinds that have built-up after years of underinvestment.

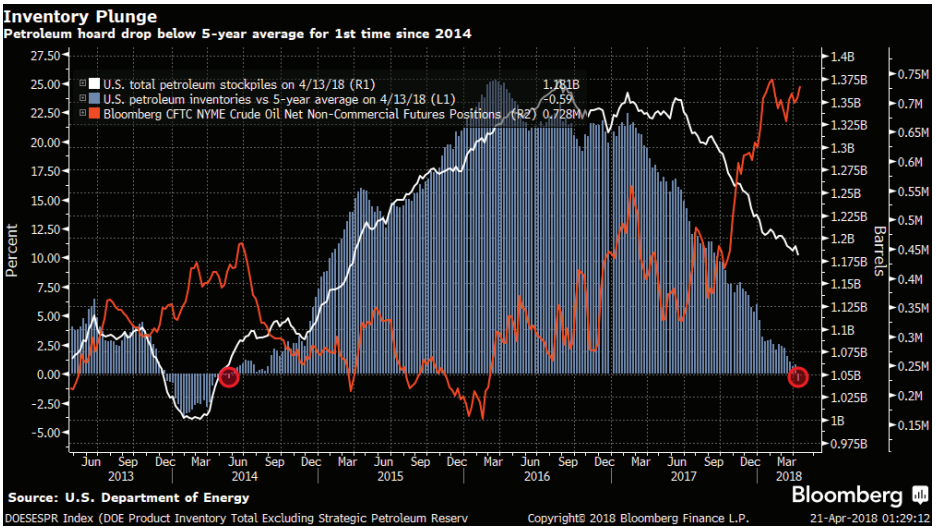
Trump intends to reinstitute sanctions on Iran, another major player in oil export markets, thus taking even more oil out of the markets. Iran has rebuilt its production capacity since sanctions were lifted by the Iran nuclear deal, and the nation now contributes a meaningful share of global supply.

RV contributor Larry McDonald, in his flagship ***Bear Traps Report*** (published on **RVTT here)**, anticipates several tailwinds benefitting equities across the oil complex. His report was written at the end of March, before the recent surge in global crude prices:

> *Crude prices will benefit from the seasonal rebound in refining margins, the pickup in Chinese demand, and the threat that Trump pulls out of the Iran deal.*

Once again, Larry was spot-on. Supply-demand dynamics have sent crude soaring, and the rally looks like it may have room to run. On April 19th US petroleum stockpile figures were released and had fallen below their five-year average. Note that the five-year average has been used as the de facto dividing line for surplus versus deficit petrol conditions in the US, and the latest decline in stockpiles has brought inventories below this level for the first time since 2014.

US CRUDE STOCKPILES MOVE INTO DEFICIT TERRITORY (< 5Y AVG)



Source: RV TT & Bloomberg

(The chart above also reflects the large net speculative long position in oil)

Other factors are currently working in crude's favor: Venezuela sanctions have rendered its global oil exports immaterial; pipeline-capacity and transport-infrastructure bottlenecks in the Permian are keeping shale oil (light sweet crude) stuck in Texas; and OPEC and non-OPEC members are cooperating to stymie global output and keep a floor on prices.

According to Bloomberg, OPEC and Russia have agreed to continue to limit supply, which wipes out 97% of the global surplus. Despite the favorable dynamics, the OPEC and non-OPEC alliance will continue to pursue curbs to support another key goal: boosting funding for E&P capital expenditure, which, according to Saudi Energy Minister Khalid Al-Falih, remains "far out of reach."

Despite the surging price of oil, equities in the space appear to be under-appreciated. North American upstream (E&P) companies will have plenty of cash to spend with WTI in the $60s, and a good share of this will likely go to midstream Oil Services players to build out pipeline and other transportation infrastructure to enable realization of full prices (without large transportation discounts). Looking across the spectrum (upstream to downstream), oil equities appear cheap across the board at these levels. Underperformance in recent years reflects oil investors' consternation around investing in the sector without evidence of sustainably higher crude prices. Oil investors look to the middle of the futures curve and thus often do not rerate equities solely based on a spike in the front-month contract.

ENERGY EQUITIES: ROOM TO RUN



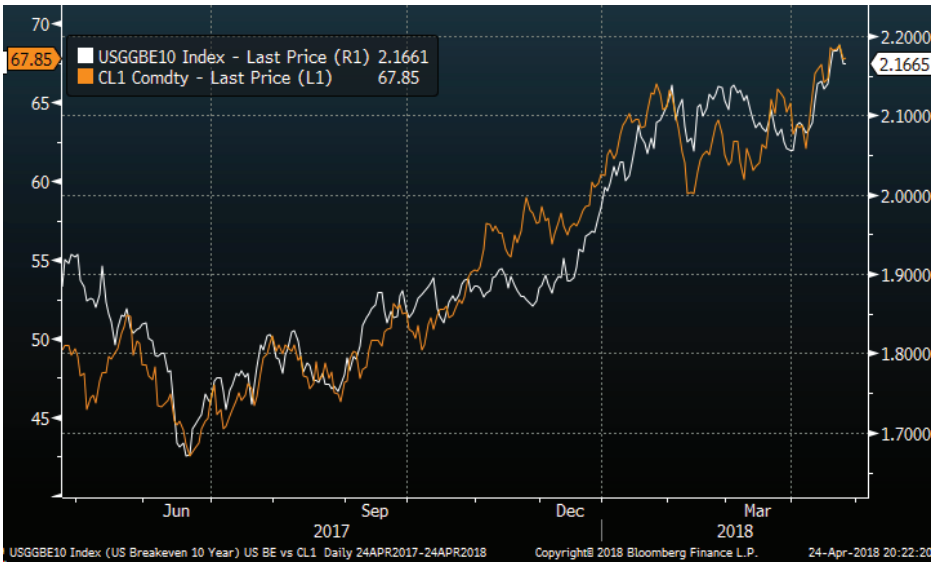
Source: RV TT & Bloomberg

The pink line above reflects the normalized growth (100 = base) of the commodity. As depicted by the white line, MLPs have been the biggest laggard, while the E&P companies have done the best. As we have noted in previous editions, the buildup in the net speculative long oil trade is extremely crowded. With everyone crowded into the commodity, the equities appear to be a bit left behind. Accordingly, it may be more attractive to evaluate the equities rather than the commodity itself. Looking across the energy complex, from upstream/E&P names to midstream (MLPs, C corps) oil services providers, we note continued production growth in the Permian but widening differentials due to a lack of transport infrastructure, so long positions in a basket of midstream/oil services names in the Permian may be the best way to play further upside from here.

THE DOUBLE EDGE OF RISING OIL

Rising oil could levitate inflation readings further, especially considering the weak year-on-year comparisons. Inflation expectations have moved in lock-step with crude prices over recent months.

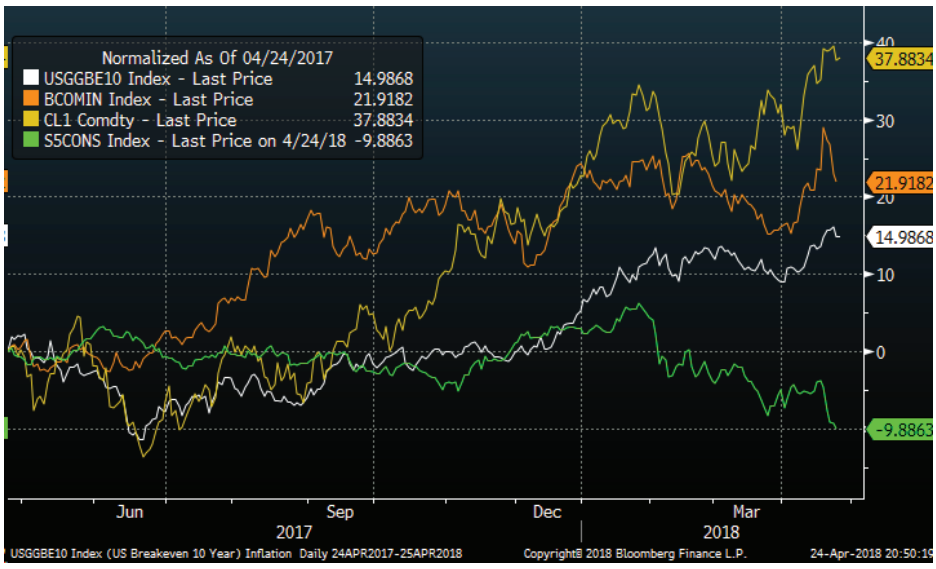
U.S. 10-YEAR BREAKEVENS (WHITE) VS. OIL PRICES (ORANGE)



Source: RV TT & Bloomberg

This explains some of the weakness behind Consumer Staples which will be impacted by ongoing inflationary concerns.

OIL, METALS, INFLATION AND CONSUMER STAPLES (GREEN)

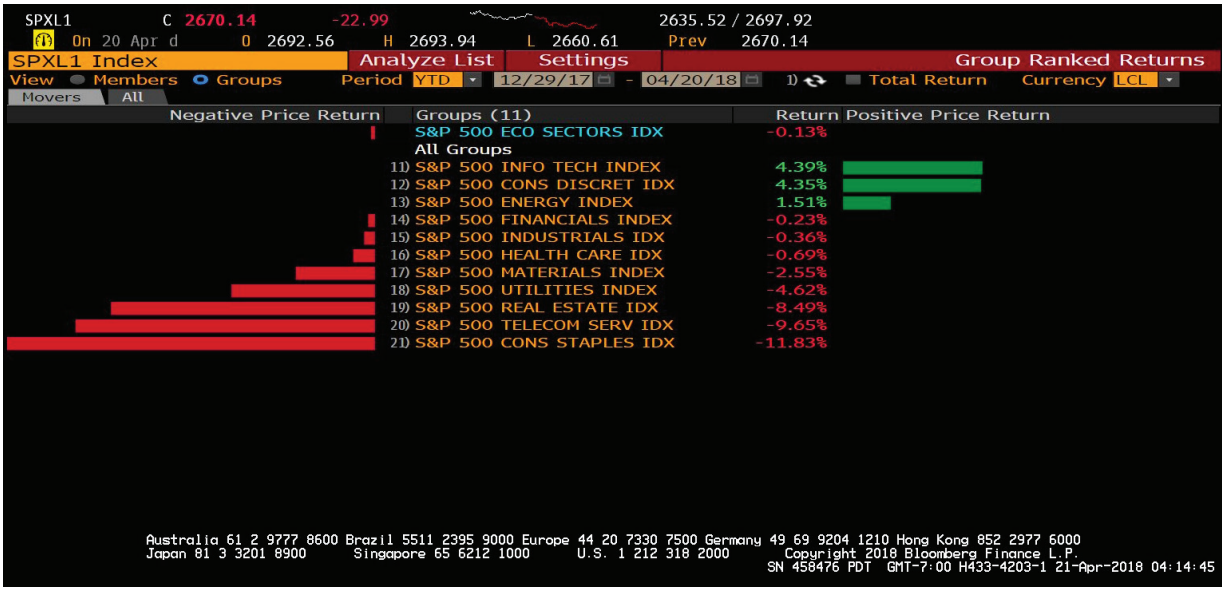


Source: RV TT & Bloomberg

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Consumer Staples, as shown below, are the worst-performing sector in the S&P 500. That might be a side effect of their high gearing with floating-rate debts tied to LIBOR (which continues to rise).

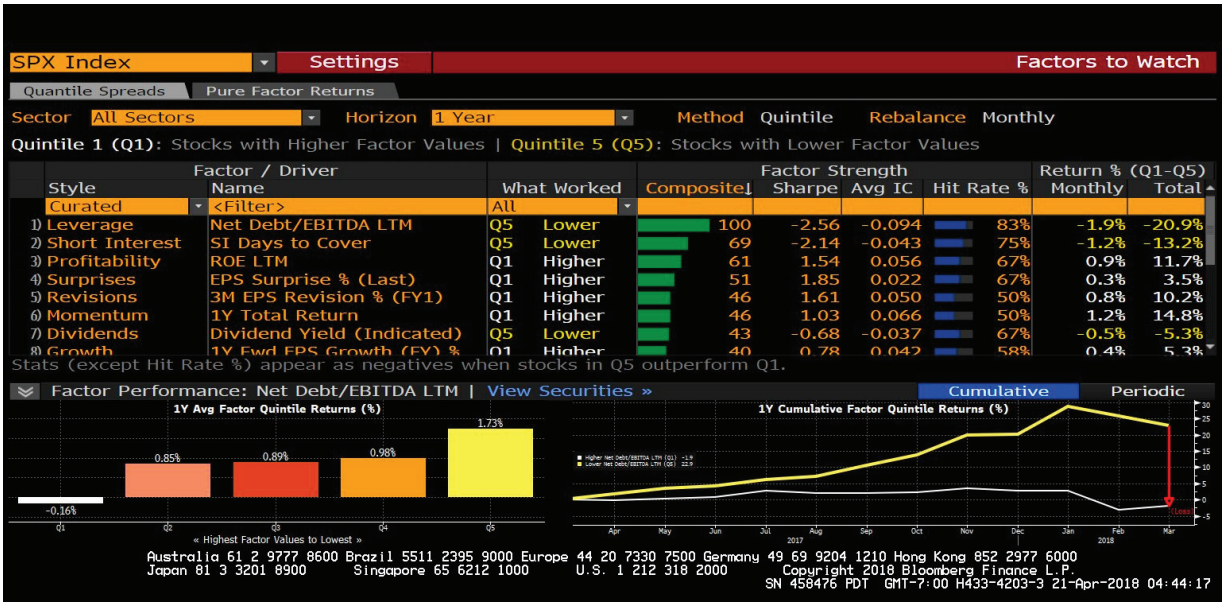
S&P 500: PERFORMANCE BY SUB-INDEX YTD



Source: RV TT & Bloomberg

When a company issues floating-rate debt, it can hedge only some portion of the floating-rate payments, and these hedges will, inevitably, come with an expiration date. We ran a factor analysis to identify the highest contributors to equity returns year-to-date, and we weren't surprised by the result: Leverage had the highest impact on S&P 500 stocks' performance this year and is inversely related to equity performance. The higher the leverage, the weaker the returns. This leverage would have also pressured Consumer Staples, whose average debt/EBITDA is significantly higher than that of most other industry sectors.

BEWARE OF DEBT-HEAVY BALANCE SHEETS (S&P 500)



Source: RV TT & Bloomberg

After leverage, companies with the greatest short interest felt the second largest impact, also inversely correlated with returns.

With regard to the impact of leverage, we might have expected these results. Rate hike cycles generally coincide with a higher debt burdens; and as refinancing is not an option, debt service obligations grow, and companies often issue floating-rate debt (tied to, you guessed it, LIBOR). The market may finally be catching on. When it costs a company more to take on incremental debt than it does to issue equity or file for Chapter 11, they should be punished for doing so. We note that the likes of NFLX have long been a conundrum, belonging to a unique group that has had us scratching our heads in bemusement for years, wondering how they continue to escape destiny in a Delaware courtroom. Ignoring this idiosyncratic bunch, we ran a factor analysis on the S&P 500 to identify the factors with the greatest contribution to returns on S&P 500 stocks over the past year. And so it was, as we had expected, that leverage was by far the most influential factor driving equity returns into the red; and the greater the leverage, the worse the returns. We broke the index into five quintiles, Q5 comprised of the 100 companies (20% of the S&P 500) with the highest leverage and Q1 comprised of the 100 companies with the lowest leverage. Examining the median returns of each group, we found that Q1 companies outperformed their levered counterparts in Q5 by nearly 25%

Q1 company returns are shown by the yellow line below, while Q5 (highly leveraged companies) returns are shown in white.

WITH RATE HIKES AND LIBOR GOING UP, HIGHLY GEARED COMPANIES UNDERPERFORM (S&P 500)



Source: RV TT & Bloomberg

As we noted in **last week's *Distillery*** (4/18/2018), we are particularly concerned about the number of loss-making companies within the Russell 2000 Index that were accepted into the index without ever having delivered a profit. We suspect that many of these companies have used their elevated status to take on more and more debt, as equity would flow to them by way of incessant liquidity seeking enhanced risk for the sake of enhanced risk (and nothing more), with no regard to factors like indebtedness, capital productivity, operational gearing, EBIT that doesn't cover interest expense, propensity for default – all that nonsense.

RUSSELL 2000 PERFORMANCE BY SECTOR

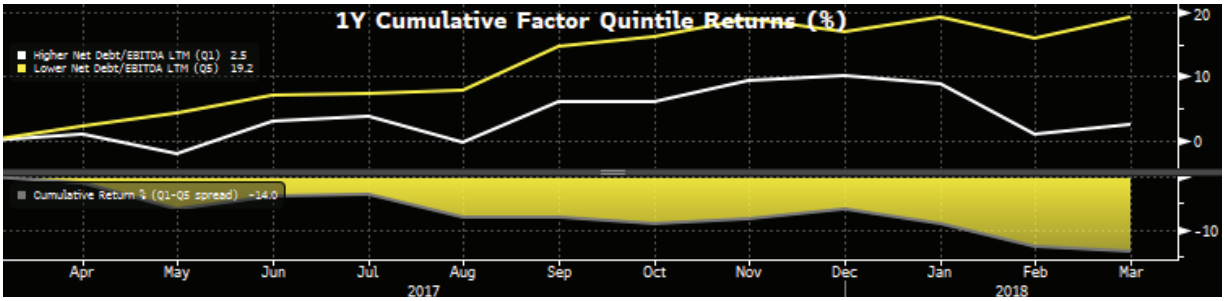


Source: RV TT & Bloomberg

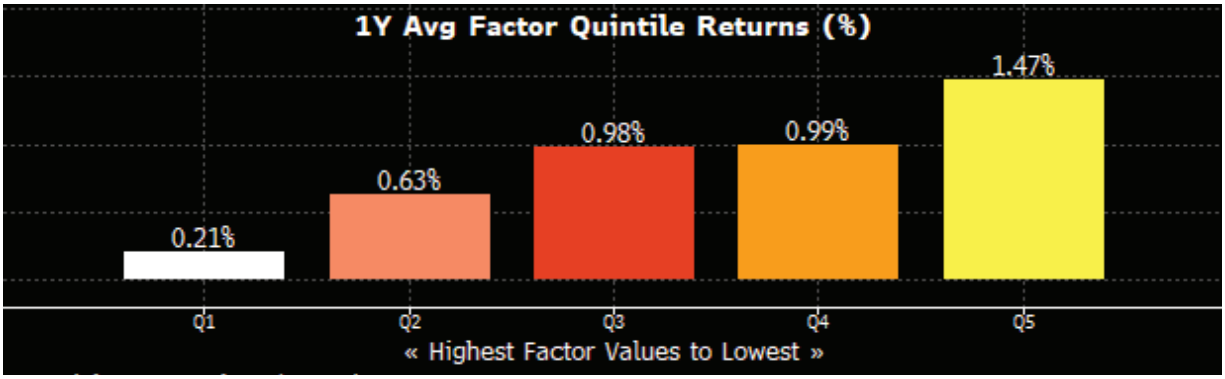
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As with the S&P500 companies, those companies in the Russell 2000 with higher leverage ratios significantly underperformed those with lower leverage. Here they are again broken down into quintiles Q1 (lowest leverage) to Q5 (highest leverage).

RETURN DIFFERENTIALS, RUSSELL 2000: QUINTILE 1 LESS QUINTILE 5 (LEVERAGE RATIOS)



Source: RV TT & Bloomberg



Source: RV TT & Bloomberg

Digging deeper, we ran the results to create an index of all companies within the Russell 2000 that had a debt/EBITDA ratio above 15. We then ran another screen on this index to view the outstanding floating-rate debt obligations of each company therein, and broke this data down into sectors. The results? Consumer Staples had the highest floating-rate debt obligations, followed by Materials and Utilities. Many of these companies, including TSLA (which happened to fall into the bunch), do not earn sufficient EBIT to cover their reported interest expense. They are not even trying to generate a profit – that's a distant dream – for now they just want to avoid going bankrupt. Official warning: Avoid the zombies and the walking-dead of debt and pay careful attention to balance sheet risk.

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THE SPOTLIGHT

A focus on this week's two contributors and what they've been saying – and why it's a must-read on markets.

THE CREDIT STRATEGIST

THE CREDIT STRATEGIST

Michael Lewitt is no stranger to Real Vision, and he is an old hand at the markets. His cynical voice and polemical style always make for an entertaining read.

LAST TIME AROUND...

In his last report, **"Bulls in a China Shop,"** Michael talked about the dangers of investing in bond markets at a time when rates are going up, which is bad for holders of duration.

> *The prospects for long-duration bonds of any type – sovereign, corporates, munis – is poor from a mark-to-market basis regardless of credit quality; add the risk of default to weak borrowers (primarily corporates and certain municipalities) and these instruments are, to borrow a phrase from Nancy Pelosi, piles of doggie poo-poo with a cherry on top (she does have a way with words, doesn't she?).*

WHAT ABOUT RIGHT HERE, RIGHT NOW?

Michael's April edition of his flagship Credit Strategist newsletter highlights a number of different topics, ranging from domestic politics and the rising national debt to productivity-sucking LBOs and the fact that markets are awash in debt and owned by a bunch of investors asleep at the wheel. He opens tomorrow's piece with a great quote from Mark Helprin:

> *Recent generations especially, their elders in tow, are racing upon a digital track to exchange their powers, liberty, and privacy for the pathetic simulations of fame, counterfeit means of intimacy and connection that instead foster distance and isolation, supposed simplification that gives birth to meaningless complexity, conveniences that require submission and erode skills, and an ever-growing reliance on corporate behemoths with no spur to guard anyone's rights or interests but their own.*

After covering his concern regarding societal changes and alluding to the rising use of mind-numbing technology platforms like Facebook to create false friendships that in fact drive isolation, Michael gives us some great insights into the markets, finishing off with his positions (including exits, etc.).



> *Despite the market correction, investors still bid up shiny objects like Bitcoin and Tesla stock to absurd valuations, demonstrating that human irrationality remains the one constant in financial markets.... Since the February 9 low, five stocks accounted for 50% of the Nasdaq 100's gains – Microsoft (MSFT), Apple (AAPL), Netflix (NFLX), Intel (INTC), and Amazon, Inc. (AMZN). This is not the stuff that continuing bull markets are made of but the technology sector certainly had mania written all over it.*

Lewitt also points out that investors should anticipate rising correlations between debt/bonds and equities, catching the 'risk parity' trade off-guard and creaming the masses of portfolios designed to offset equity risk with an allocation to bonds.

> *In an economy saturated with debt at every level, the distinction between debt and equity is going to matter far less than people think – both assets will sell off together. Today's market structure has never been tested in a bear market. ETFs of all types hold around $3.6 trillion in assets compared to just $500 million a decade ago according to the Investment Company Institute. Mutual funds hold $16 trillion by way of comparison. That means nearly $20 trillion of assets are held in vehicles whose owners know little about what they own (and in the case of ETFs, the people who manage them don't know a whole lot more!).*

WELDONLIVE

Greg Weldon is a financial industry veteran who serves up a unique combination of technical, top-down, and fundamental analysis covering everything from equity, credit, FX, derivatives, commodities, and rates markets to the real economy, unemployment, politics, and global macro dynamics.

LAST TIME AROUND...

Greg was last featured in Think Tank for a special edition of his **WeldonLIVE** report with a "Special Focus on the US," in which he homed in on the twin deficits at a time when only a select few had raised the issue. He took us through the details of the US trade deficit and budget deficit to discern their likely impact on future Fed policy, the bond market, the dollar, and the stock market. He started with analysis of the labor market, pointing out the declining employment-to-population ratio and its vulnerable underpinnings, and then moved on to a discussion of the erosion in key leading markets and signs of deteriorating growth.

> Perhaps the MOST troubling perspective comes from the fact that growth in the entirety of the Service sector is into a rapid retreat, having lost ONE-MILLION in year-year job growth from its 2015–2016 peak...

He also took note of the relatively healthier outlook for employment and growth in the Manufacturing sector, reflected by the employment picture, which fit the narrative offered by the other 'soft' data, including the ISM and Fed surveys, industrial production, etc.

> *On the flip-side, as I have been noting in ALL of the related macro data of late, the Manufacturing sector is solidly into a growth zone, employment wise, in sync with ISM and Fed surveys, along with Industrial Production and Cap-U.*

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WHAT ABOUT RIGHT HERE, RIGHT NOW?

In this week's edition, Greg Weldon takes a deep dive into monetary policy and the current unemployment and inflation dynamics and their interplay with monetary tools, regulatory policies, and demographic and technological shifts that make the Phillips-Curve-reliant FOMC members' heads spin.

> *Of course, the immediate worry is ... that an undershooting of the long-run unemployment rate has often been associated with an overheating economy and ever growing inflationary pressures. Today, however, inflation remains low ... What do we make of this apparent contradiction? Does it mean that the labor market is about to overheat enough that stronger, unwelcome inflation is just around the corner? Or does it mean the FOMC is wrong about its estimate of the long-run sustainable rate?*

He then offers his perspective...

> *Or, put somewhat differently, is it the case that the combination of low unemployment and low inflation is due to structural labor market inefficiencies that monetary policy cannot fix? These structural inefficiencies might still pose problems for society, and other policies might be able to address them. But interest rate policy won't.*

Weldon then prepares extensive analysis on virtually every economic indicator out there for a comprehensive review of the state of the U.S. economy.



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ON THE RADAR

What do we need to watch next week and next month? These are the hottest market themes and trends to look out for.

BOND YIELDS TEST THE PSYCHOLOGICAL 3% LEVEL

Is the current inflation narrative actually playing out more strongly than anticipated? Or is it really just another overblown market narrative. Inflation may have been priced-in long ago, given the strong ISM readings and PMI surveys, which are now correcting to make up for the overshoot. Raoul Pal of Macro Insiders thinks the latter is true, and he seems to be right.

I think [that] the balance of probabilities is now leaning heavily towards a moderation in economic activity and that the inflation impulse is already in the price.

Raoul thinks the 'synchronized global growth and reinflation' theme is overblown, or so it sounds. He contends that the inflation we will see is now already priced-in, which makes sense given the activity in long-dated Treasuries (or the lack thereof) until very recently. Remember, 10-year USTs ran close to 3% leading into the February 5 sell-off but never did hit that 3.00% level. Every time they got close, someone came in and took out the top (buying the dip). Sven Henrich points out:



Source: Sven Henrich of Northman Trader

Raoul does a great job of summarizing what's really important to evaluate when attempting to make sense of it all:

> *Generally speaking, US government bonds react to positioning, economic growth, and inflation (with some secular influence from demographics and the debt cycle). Many would also add that we should consider credit risk but, as the US has the world's reserve currency and can issue as much as it wants, this is not something to worry about at this stage in the game.*

Both the 'inflation' and 'real yield' elements of nominal yields have been moving higher this year. This week's equity wobble has followed a break out in the 'real yield' element of nominal yields (nominal 10Y yields at 3.02% could be split into 2.17% of inflation expectations and 0.85% of real yield).

REAL YIELDS CLOSE TO A 5 YEAR HIGH



Source: RV TT & Bloomberg

To neutralize any effects of the yield curve, **Global Macro Investor** suggests looking at positioning at the middle of the curve. As Raoul notes, today we're seeing the largest net short position in the history of 5-year Treasury note futures *(see The Week in Charts)*.

Some investors absolutely relish the concept of 'herding' behavior in the markets. Why? So they can take the opposite side on the cheap, achieving a nice asymmetry to the trade. In plain English, when investors herd and everyone agrees on something, they're usually wrong. Moving with the herd creates a false sense of security in investors' minds, and as a result they're often happy to sell cheap options to express the opposing view. It can work out great: When you're wrong, you lose just a little (equal to the cheap premium you paid); but when you're right, you stand to make decent returns. The payoff profile is quite lopsided. Even without using options, expressing a contrarian view typically has an asymmetric payoff profile. It's cheap to position yourself long assets that everyone expects to fall, and vice versa.

Inflation or 'global reflation' or 'synchronized growth' may be overblown. Despite all the inflation-speak, we just saw another turn of disappointments out of Europe, with inflation (as usual) undershooting ECB and economists' projections. The Japanese will never reach their target 2% inflation, and the Fed still has to get inflation to come up before it even reaches its 2% target. In the US we're still buying cheap imported goods and haven't seen the effects of trade tensions on the real economy (at least not yet) – which brings us to the key question: Could the markets be overreacting to trade talks that are really strategic/tactical positioning by Trump ahead of the mid-terms? Perhaps he plans to be or is already engaged with economic leaders abroad in trade negotiations but wants to position himself ahead to tilt the deck. If this is the case, then the tariffs on China (which have a 60-day window before taking effect) may never take effect. There goes one source of inflation that looks to be priced in.

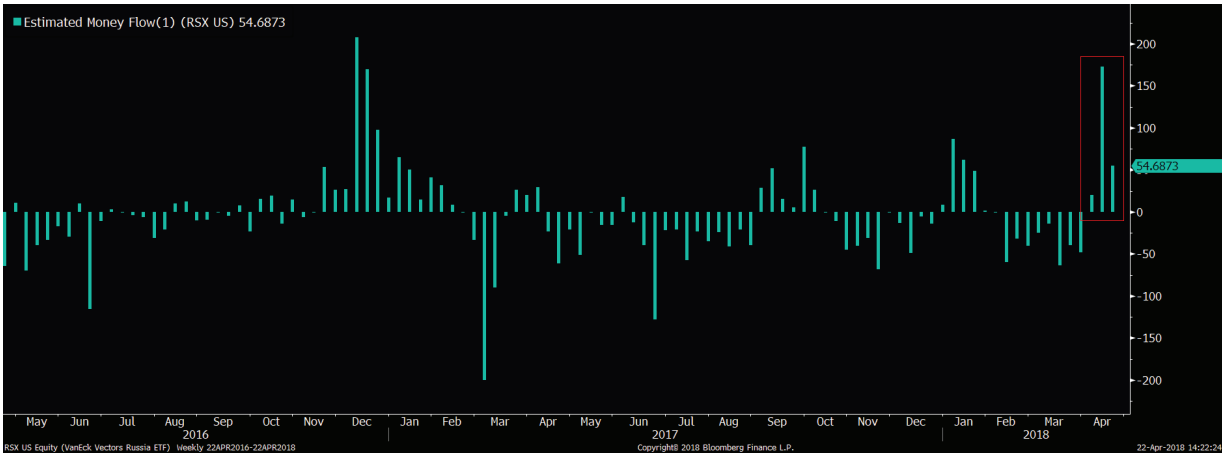
Additionally, if falling bonds (higher yields) now lead to a greater risk of falling equities, then flight-to-safety trades may cap the extent to which long yields can further rise. The heavy lifting of Fed rate hikes will continue at the front end and help to flatten the curve.

MONEY FLOWS MATTER: RUSSIA LOOKS CHEAP

Looking at the flow of funds, we note that the Russian trade isn't as disliked as the market would have us believe. Specifically, when we look at money flows into the most popular Russia ETF, the VanEck Vectors Russia ETF (RSX US), on a short-term view, we see a clear turn in sentiment as investors have piled in over the last three weeks.

Russian equities may very well be oversold at these levels, especially given the country's large exposure to oil prices and its vast natural resources. In light of the recent rally in the Commodities sector, which is common during periods of equity underperformance, and the unusually low price to get into Russian equities, we did some digging to read between the tea leaves. Below is a graph reflecting noncumulative money flows into the ETF.

VANECK VECTORS RUSSIA ETF: WEEKLY INFLOWS REBOUND

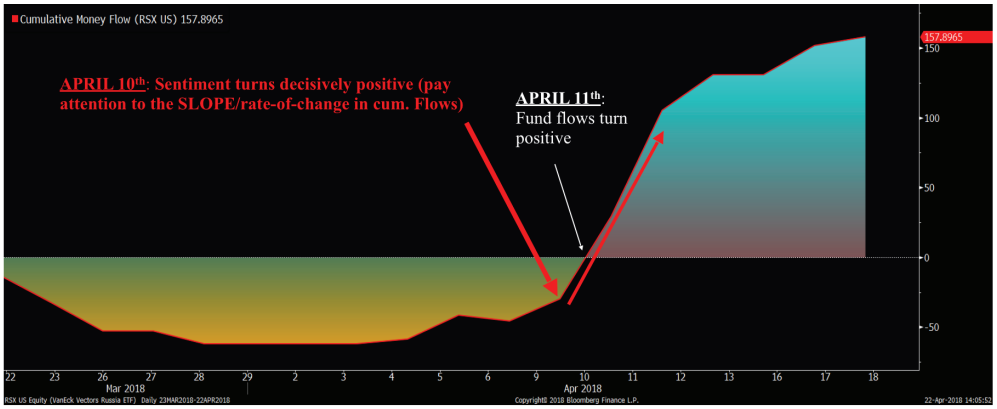


Source: RV TT & Bloomberg

Capital flows reflect supply and demand, which ultimately drives returns. For this reason, it's important to understand not only which direction money is flowing but also the rate of change in flows in a given direction.

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RUSSIA NET FLOWS TURNS POSITIVE WITH RAPID RATE OF CHANGE (SLOPE)



Source: RV TT & Bloomberg

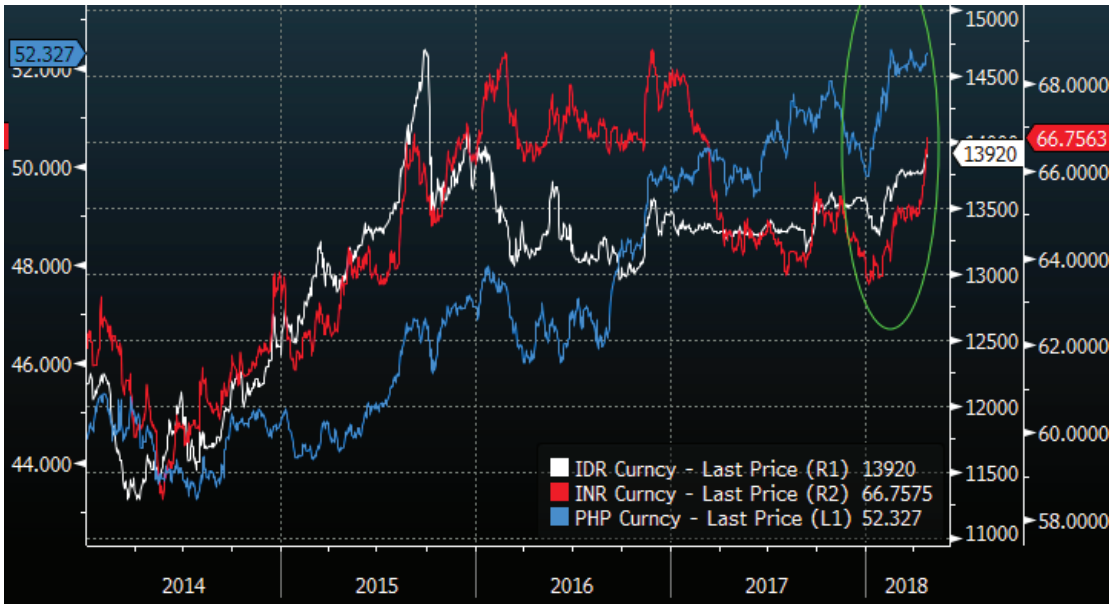
BUT BEWARE THE USD

The intro to this week's Distillery was 'Is USD strength a false break or the beginning of an extended trend reversal?' It's a critical question. The turn is coming at a time of extreme positioning, as summarised by Raoul Pal:

- The largest long position in the history of equities
- The largest underweight in the history of bonds
- The largest short position in the history of bond futures (5 yr)
- The largest short position in the history of Eurodollar futures
- The biggest short vol position in the history of markets (all assets)
- The biggest long position in the history of oil markets
- The near biggest long position in the history of copper
- The largest short position in the dollar ever recorded.

Strength in the Chinese Yuan has disguised a less-than-stellar performance from other EM currencies. Turkey and Russia may have their own issues, but the Indian rupee, Indonesian rupiah and Philippine Peso have also been struggling.

INR, IDR AND PHP



Source: RV TT & Bloomberg

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The Australian dollar is now breaking the 2-year uptrend. If Chinese demand was robust, the AUD should be on steady ground rather than flashing a deflationary signal.

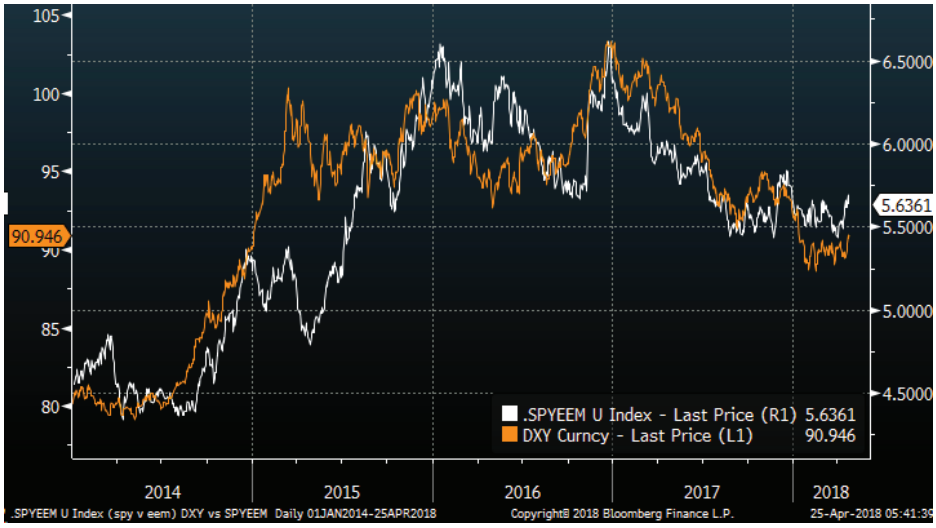


Source: RV TT & Bloomberg

The combination of higher real yields (see above) and stronger USD could be toxic for EM countries, many of whom experienced a large increase in USD debt since the Financial Crisis.

There are ongoing expectations that the importance of the USD will wane. But that will take place over an extended time frame. For now, the USD has maintained and even marginally increased its share of global FX reserves (around 85%). The relative performance of the MSCI EM equities to the S&P500 still tracks the performance of the US dollar index.

RATIO OF SPY US/EEM US AND THE USD INDEX



Source: RV TT & Bloomberg

Whilst it's not a perfect relationship, it clearly reflects the relative dangers to EM positioning that a strengthening USD implies. Investors have successfully positioned for the reflation and inflation narrative and have been rewarded by the decline in bond prices, particularly at the front end. A sharp reversal in the dollar is not expected. If this leg higher in yields is driven by real yields, rather than growth/inflation, then investors might make a quick dash for the other side of the ship.

P.S.

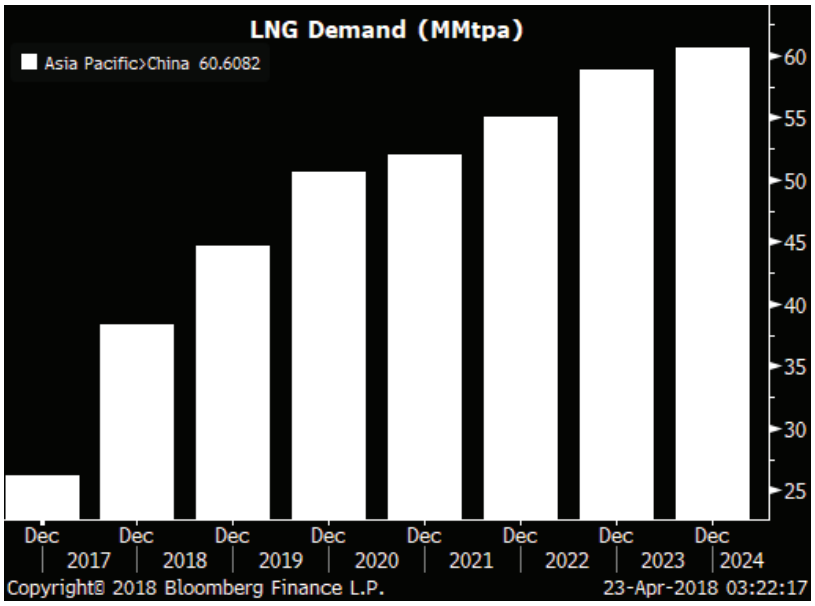
It would be unfair to leave you without throwing in this tasty morsel for you to think about...

NATURAL GAS: A DEAL WITH CHINA?

The noise has been growing in financial circles about a potential deal in the works or soon-to-be-in-the-works between the US and China on trade. Word has it that Trump's recent jabs at China with the imposition of trade tariffs are merely tactical moves that support a much bigger strategy, positioning him well to get concessions from China in behind-the-scenes trade negotiations. As speculation rises, we can't help but note that a win on trade is key for the GOP ahead of the mid-term elections. There seems to be an obvious, natural fit that should be a win-win for both sides, and rumors have it that this is precisely where Trump intends to focus when dealing with China.

Essentially, the US just opened for business with respect to the export of natural gas (LNG). The timing was almost serendipitous, just as new environmental reforms mean that China needs LNG and will be seeking much greater imports of the commodity. If a deal ultimately does go through, we could see a surge in prices on natural gas futures.

CHINA LNG DEMAND (2016-2024)

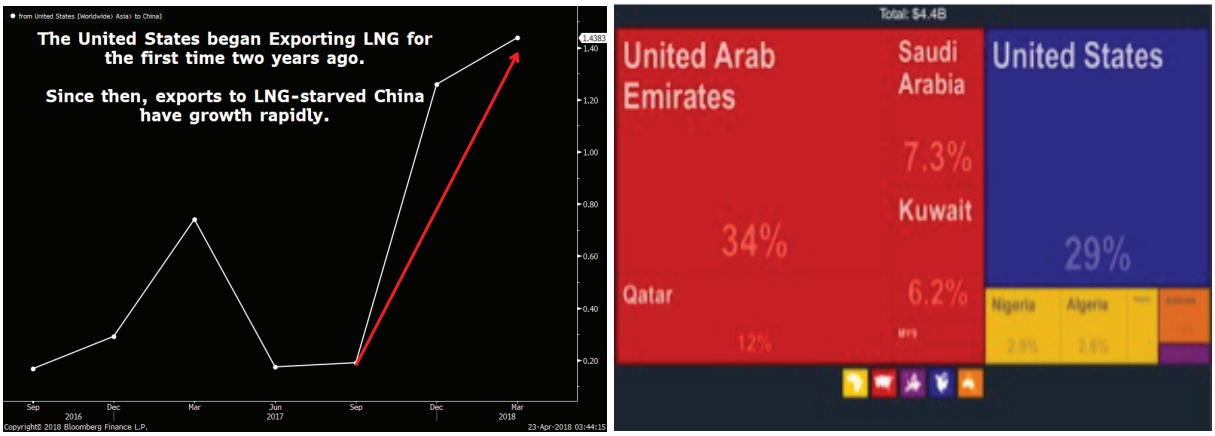


Source: RV TT & Bloomberg

Just when the Chinese and the US each need to agree to a deal on trade in some form or another, China also needs to import more and more LNG. Those needs can be met in part by the US's newly opened LNG export business. Regulations suppressing previous sources of LNG supply to China support the thesis that China needs another reliable supplier of LNG, and the US may be a key beneficiary for a couple of reasons: (1) The Dutch government has announced it will halt production from Europe's largest natural gas field by 2030, creating opportunities for new suppliers to China; and (2) output from a major joint venture between Exxon and Shell is expected to see declining sales and profit after the imposition of Europe's new policies to restrict natural gas production. Their JV, Groningen, represents Europe's largest natural gas field, and has been restricted since

2014 due to seismicity concerns, while Dutch regulators mandated complete curtailment by 2030. Curtailed output from the Gronigen JV will create an opportunity for other LNG suppliers to sell more gas into Europe. Gronigen is required to slash its production in half by 2022, opening up significant unfilled demand for other players to step in. European LNG imports rose 16% YoY in March.

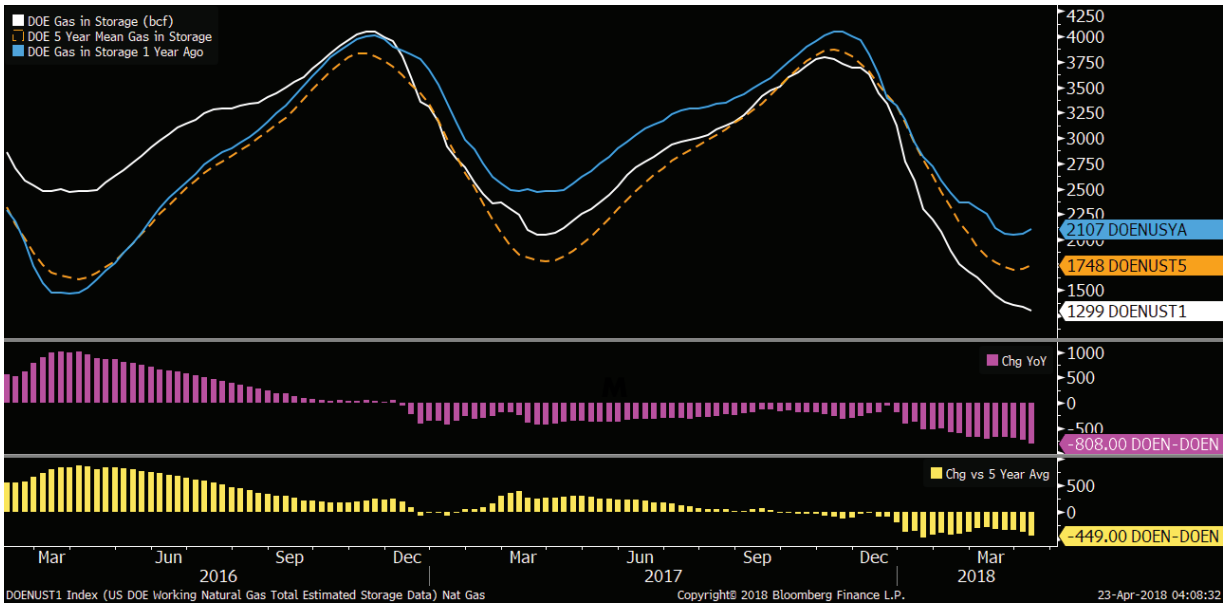
US LNG EXPORTS TO CHINA (CURRENT)



Source: RV TT & Bloomberg

China imported only 6% of its LNG demand from the US in 2013, an amount that increased tenfold, according to OEC. A US-China Economic and Security Review said the US exported $513mm worth of LNG exports to China in 2017, "with more to come as additional assets are completed in the US and new contracts are signed." Growth out of China is driven by the country's clean-energy initiatives, with very aggressive targets requiring access to larger imports of LNG to reduce pollution. The US must ramp up production to meet Chinese demands. In the LNG space, these demand dynamics have been a long time in coming. The commodity has suffered for some time, but now that China has ramped up imports and lost key suppliers, natural gas exposure might be something to consider. Finally, the cyclical nature of the natural gas markets and supply/demand have created a very predictable cycle that repeats, almost identically, time and time again. Right now, it looks like we are at the nadir of the current cycle, which could change the structural dynamics should any deals between the US/China be made.

US LNG EXPORTS TO CHINA (CURRENT)



Source: RV TT & Bloomberg

MILTON

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